NO. 96-79

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Supreme Court, U.S.
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In the Supreme Court of the United States

OCTOBER TERM 1996

SANDRA JEAN DALE BOGGS,
Petitioner

VERSUS

THOMAS F. BOGGS, HARRY M. BOGGS,
AND DAVID B. BOGGS,
Respondents

ON WRIT OF CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE FIFTH CIRCUIT

BRIEF OF PETITIONER ON THE MERITS

MARIAN MYSING LIVAUDAIS*
John Catlett Christian
F. Pierre Livaudais
3500 Highway 190, Suite 200
Mandeville, Louisiana 70471
Telephone: (504) 626-1144

James F. Willeford
201 St. Charles Ave., Suite 3907
New Orleans, Louisiana 70170
Telephone (504) 582-1286

Attorneys for Petitioner

*Counsel of Record

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A B Letter Service, Inc., 327 Chartres St., New Orleans, La. (504) 581-5555

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QUESTIONS PRESENTED FOR REVIEW

I.

Whether the Employee Retirement Income Security Act of 1974 (ERISA), 29 U.S.C. 1001 et seq., preempts states' community property laws that afford an inheritance right to heirs of a predeceased non-employee spouse of the pension plan participant to receive ERISA covered pension plan benefits (including those rolled over in an IRA) from the participant's estate and surviving spouse.

II.

Does ERISA preemption of states' laws extend to pension benefits 'rolled over' into an Individual Retirement Account under 26 U.S.C. 401, et seq.?

LIST OF PARTIES

The parties to this case are Petitioner, Sandra Jean Dale Boggs, Respondents, Thomas F. Boggs, Harry M. Boggs and David B. Boggs.

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OPINIONS BELOW

The opinion of the United States Court of Appeals for the Fifth Circuit is reported at 82 F.3d 90 (5th Cir. 1996) and is reprinted in the Appendix to Petition for Certiorari at Cert. App. 13-25. The Dissenting Opinion of Judge Wiener to the refusal of the Fifth Circuit to grant a Rehearing En Banc is reported at 89 F.3d 1169, and is reprinted as Supplemental Appendix to Petition for Certiorari, ("Supp. App. H"). The opinion of the United States District Court for the Eastern District of Louisiana is reported at 849 F.Supp. 462 (E.D.La. 1994) and is reprinted at Cert. App. 1-12.

JURISDICTION

The Judgment of the Fifth Circuit Court of Appeals was entered on April 17, 1996. A Petition for a Writ of Certiorari was filed with the clerk of this Court on July 11, 1996, within 90 days of the entry of that judgment. The Writ of Certiorari to the United States Court of Appeals for the Fifth Circuit was granted on November 1, 1996. This Court has jurisdiction under 28 U.S.C. sec 1254 (1).

STATUTES INVOLVED

The relevant federal statutory provisions are:

Employee Retirement Income Security Act of 1974, ("ERISA"), particularly 29 U.S.C. §1001, 29 U.S.C. §1055(a), 29 U.S.C. §1056 (d) (1), and (d) (3) (A) (B), and 29 U.S.C. §1144(a), reproduced in Appendix "A" to this brief. 29 U.S.C. §1132 (a) (1) (B) and (e) (1), which are reported in the Appendix to Petition for Writ of Certiorari as App. "D", pp. A-28 - A-31.

Internal Revenue Code, 26 U.S.C. 408 (a) and (g), reproduced in the Appendix to Petition for Writ of Certiorari as App. "C", pp. A-26 & A-27.

The relevant Louisiana statutory provisions are Louisiana Civil Code, Articles 2335, 2336, and 2338, which are reproduced in the Appendix to the Petition for Writ of Certiorari as App. "E", pp. A-32 - A-34, and Louisiana Civil Code, Articles 2328, 2329, 2341 and 2356 which are reproduced in Appendix "B" to this brief.

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STATEMENT OF THE CASE

Petitioner, Sandra Boggs ("Sandra") is the second wife, and widow, of Isaac Boggs ("Isaac"), an employee of South Central Bell[1]. As an employee he participated in an ERISA-qualified pension plan. Isaac was first married to Dorothy Boggs ("Dorothy"), who died in 1979. Their children are David Boggs, Thomas Boggs and Harry Boggs, the respondents herein.

In 1980 Isaac married petitioner, Sandra.

Thereafter, in 1985 Isaac retired and became entitled to ERISA pension benefits. He received a lump sum pension payment valued at $151,628.94, which he rolled over into an IRA account and named his second wife, petitioner, as beneficiary under the plan and the IRA. He also received

[1]The Joint Stipulation of Fact, on which this case was tried, is reproduced in Joint Appendix, pp. 25-30.

shares of A.T. & T. stock, a life insurance policy, and a monthly annuity.

Upon his death in 1989 Isaac's annuity was converted into a survivor's annuity and is currently paid to his surviving spouse, petitioner.

Dorothy, Isaac's first wife, who died in 1979, bequeathed by testament one-third of her estate and a lifetime usufruct in the remaining two-thirds to her surviving husband, Isaac. She also bequeathed the naked ownership, or reversionary interest, in said two-thirds of her estate (subject to the usufruct) to her three sons, respondents herein.

Asserting that under Louisiana's community property laws their mother, Isaac's deceased first wife (Dorothy), had an interest in the pension plan, two of the Boggs' sons filed an action in the Louisiana state court seeking an accounting and a judgment against Sandra for an amount of money equal to Dorothy's alleged community (their deceased mother's) portion of the pension plan benefits.

Petitioner, Sandra, then filed this action in federal court, under 29 U.S.C. §1132 (a) (1) (B), and (e) (1), against the three Boggs' sons, seeking a declaratory judgment that: (a.) the Employee Retirement Income Security Act of 1974 ("ERISA") preempts the application of Louisiana's community property and succession laws to the assets of, or the benefits payable under the plan (including those benefits rolled over in the IRA), (b.) the community existing between Isaac and his first wife, Dorothy, has no interest in the assets or benefits payable under the pension plan benefits, and thus, (c.) the three Boggs sons as testamentary heirs of their mother,

Dorothy, have no interest in plan assets, or benefits, nor do they have a claim against petitioner, Sandra, for an amount equal in value to Dorothy's alleged community property interest in the plan benefits.

The district court held that ERISA does not preempt Louisiana's community property laws, because "they do not 'relate to' an employee benefit plan." (849 F.Supp. at p. 465)

The Fifth Circuit Court of Appeals, with one of the three judge panel dissenting, afirmed, holding that "under Louisiana community property law, each spouse owns 'a present undivided one-half interest' in all community assets, which vests from the moment of acquisition." * * * " 'ERISA's preemptive scope may be broad but it does not reach claims that do not involve the administration of plans, * * *' ". * * * "A spouse's accounting obligation under community property law affects employee benefit plans 'in too tenuous, remote, or peripheral a manner to warrant a finding that the law 'relates to' the plan' ". (82 F.3d at pp. 96,97) The appellate court then sought to justify its conclusions by the statement that: "Our decision relates not to the plan but to the disposition of the proceeds only after payment to the designated beneficiary." (82 F.3rd at p. 97)

Further, notwithstanding the fact that the IRA consisted of plan benefits, the Fifth Circuit rejected application of the provision of 26 U.S.C. 408, which directs that an Individual Retirement Account is "for the exclusive benefit of an individual or his beneficiaries", and "[t]his section shall be applied without regard to any community property laws", with the statement that the statute "cannot reasonable be interpreted to intervene in the marital relationship and

divest one spouse of ownership rights." (82 F.3d at p. 98)

Subsequently, Fifth Circuit Judge Jacques Wiener requested a poll of all of the Fifth Circuit judges to rehear this case *en banc,* and upon failure to obtain a majority of the judges, filed a dissent, in which he was joined by the Chief Judge and four other judges of the Fifth Circuit. (89 F.3d 1169) -Pet. Cert. Supp. App. pp. A-42 - A-75.

SUMMARY OF THE ARGUMENT

Unless the Fifth Circuit decision is reversed, millions of American workers will retire to uncertainty as to their pension benefits they worked long years to receive, and many will be deprived of portions of those benefits.

Congress enacted ERISA as a comprehensive and exclusive system that regulates the creation and administration of employee pension benefit plans, and the distribution of plan benefits, without the necessity of looking to any outside source, or state law.

In order to ensure the uniform application of ERISA's provisions, Congress provided for the preemption of all state laws that relate to ERISA covered pension plans (29 U.S.C. §1144 (a)).

Congress also provided for non-alienation of the plan benefits (29 U.S.C. §1056(d) (1)), the only exception being the Qualified Domestic Relations Order (29 U.S.C. §1056 (d) (3) (A) and (B)), which does not apply here.

The Fifth Circuit Court of Appeals erred in holding that Louisiana's community property laws permit the heirs of a

pre-deceased spouse of a qualified employee benefit participant to recover from the plan's named beneficiary a portion of the benefits due the beneficiary on the theory that the benefits were community property of the pre-deceased spouse and subject to testamentary transfer by her. *Boggs v. Boggs,* 82 F.3d 90 (5th Cir. 1996)

The Fifth Circuit's decision is in direct conflict with the Ninth Circuit's decision in *Ablamis v. Roper,* 937 F.2d 1450 (9th Cir.1991) holding that ERISA preempts California's community property laws to the extent that they permit the testamentary disposition by the predeceased spouse of a portion of the named beneficiary's benefits.

The Fifth Circuit erroneously held that the plan benefits, which were rolled over into an IRA, are also subject to community property claims of the heirs of the deceased non-participant spouse.

ARGUMENT

I

ERISA - ITS PURPOSE

Congress created a comprehensive statutory scheme to provide employee benefits under qualified non-governmental retirement plans through the Employee Retirement Income Security Act of 1974 ("ERISA"), as amended by the Retirement Equity Act of 1984 ("REA"). ERISA designates the beneficiaries, controls and defines the pensions covered by the act, the eligibility or entitlement of the beneficiaries, the consequences of entitlement or vesting, the transmission of

pension benefits to participants, beneficiaries and alternate beneficiaries, and the restrictions on transferability of those benefits.[2] Protection of *participants* and *their beneficiaries* is the key to ERISA. As provided in subsequent sections of ERISA, the term *beneficiary* generally refers to the participant or the participant's spouse. As stated in §1001, the purpose of the Act is to protect the interest of participants in retirement benefits plans and their beneficiaries (their spouses). The Act achieves this by limiting the persons who may be beneficiaries and prescribing the benefits to which they may be entitled if they qualify. ERISA mandates that qualified pension plans provide a joint and survivors annuity for the participant and the participant's spouse. The only exception to this scheme is the designation of an alternate beneficiary named by both the participant and the participant's spouse[3]. Spousal consent to the naming of an alternate beneficiary is required, without exception, where the participant is married.

Nowhere does the Act speak of creating wealth for persons outside its ambit, such as children of the employee or of the employee's pre-deceased spouse. As a result of the limitations in the Act, only the participant and the participant's spouse are qualified beneficiaries under the Act.

The major federal purpose of ERISA is maintaining the

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[2] ERISA also governs the administration of qualified plans and the tax incentives and penalties relative to plans and benefits. The administrtion of benefit plans and the tax treatment of those plans are not subjects germane to this case.

[3] Ex-spouses and children may be alternate beneficiaries who may be afforded similar protection, but are not in anyway implicated in this case.

employee's financial security through a guaranteed income stream during retirement, and thereafter income to the employee's surviving spouse. 29 U.S.C. §1001

ERISA is a present day innovation in property law and provides a fair and equitable solution to a problem of today; i.e., providing for the financial security of today's retired workers and their spouses. This Court declared the regulation of private pension plans to be a substantial federal interest. *Pilot Life Ins. Co. v. Dedeaux,* 481 U.S. 41; 107 S.Ct. 1549; 95 L.Ed.2d 39 (1987).

To be effective as a federal program, such regulation must be uniformly applied in each of the 50 states. The preemption clause of ERISA plainly declares Congressional intent to prohibit the application of any law that would alter the scheme established in ERISA. 29 U.S.C. §1144 (a)

II.

ERISA PREEMPTS STATE LAWS WHICH RELATE TO EMPLOYEE BENEFIT PLANS

Without question, it is well settled that Congress' authority to exclusively occupy the field of private pension plans is grounded in the Commerce Clause through the Supremacy Clause of the U. S. Constitution.[4] This Court has recognized that authority in a number of cases. In the exercise of that authority, Congress included in ERISA, as section 514(a), a **preemption clause** by which the Act preempts the application of any state law that 'relates to' an ERISA

[4] *Shaw v. Delta Airlines, Inc.,* 463 U.S. 85, 77 L. Ed. 2d 490 (1983)

covered pension plan. 29 U.S.C. §1144(a) It provides that, with certain named exceptions[5] (not pertinent here), the Act "shall supersede any and all State laws insofar as they may now or hereafter relate to any employee benefit plan * * * " 29 U.S.C. §1144 (a)

"ERISA is a comprehensive statute designed to promote the interests of employees and their beneficiaries in employee benefit plans." * * * The Act "preempts 'any and all State laws insofar as they may now or hereafter relate to any employee benefit plan' covered by ERISA." *Shaw v. Delta Air Lines, Inc.,* 463 U.S. 85, 90, 77 L.Ed. 2d 490, 497 (1983). The pre-emption provisions are designed to 'establish pension plan regulation as exclusively a federal concern.' *Alessi v. Raybestos-Manhattan, Inc.,* 451 U.S. 504, 523 (1981)" *Pilot Life Ins. Co. V. Dedeaux,* 481 U.S. 41, 46, (1987). "The pre-emption clause is conspicuous for its breadth. It establishes as an area of exclusive federal concern the subject of every state law that 'relate[s] to' an employee benefit plan governed by ERISA." *FMC Corp. v. Holliday,* 498 U.S. 52, 58, 112 L. Ed. 2d 356, 364 (1990). And, as this Court has emphasized: "[W]e have applied the preemption clause to ensure that **benefit plans will be governed by only a single set of regulations.**" *FMC Corp.,* supra, 498 U.S. at p. 60, 112 L.Ed.2d at p. 365 (emphasis added).

> " The key to §514 (a) is found in the words 'relate to.' **Congress used those words in their broad sense, rejecting more limited pre-emption language** that would have made the clause 'applicable only to state laws relating to the specific

[5] E.g. state laws regulating insurance, banking, securities and criminal matters.

subjects covered by ERISA'. Shaw, supra * * *".
Ingersoll-Rand v. McClendon, 498 U.S. 133, 138,
112 L.Ed.2d 474, 483 (1990) (emphasis added)

"A law 'relates to' an employee benefit plan, in the normal sense of the phrase, if it has a connection with or reference to such a plan. * * * Under this 'broad commonsense meaning,' a state law may 'relate to' a benefit plan, and thereby be pre-empted, even if the law is not specifically designed to affect such plans, or the effect is only indirect." *Ingersoll-Rand*, supra, 498 U.S. at p. 139, 112 L.Ed. at p. 484. Thus, if the effect of a state law only indirectly affects an ERISA plan, the state law is considered to "relate to" such ERISA plan. *Pilot Life*, supra.

More recently, in *N.Y. Conference of Blue Cross v. Travelers Ins.*, ___ U.S. ___, 131 L.Ed.2d 695, 115 S. Ct. 1671, (1995), although this Court found that state surcharges imposed on employee health-care plans did not "relate to" employee benefit plans within ERISA's pre-emption provision, Your Honors again recognized that "a state law might produce such acute, albeit indirect economic effects, by intent or otherwise, * * * that such a state law might indeed be pre-empted under §514". (115 S.Ct. at p. 1683). That is exactly the result of the application of Louisiana's community property laws as regards benefits payable under ERISA covered plans, for Louisiana's community property laws do, in fact, produce **acute and direct economic effects** upon the federally governed pension plan which is the subject of this proceeding. The substantial reduction of the participant's income resulting from application of state community property law is the acute and direct economic effect on the

participant and on the plan administrator which occurs when state law dealing with the usufruct obligation to the sons is recognized by the Fifth Circuit decision. The sons are seeking, in their state court proceeding, an accounting and an award against the surviving spouse, Sandra, entitling them to collect from her a portion of each of the annuity payments paid in the past and a portion of the each of the annuity payments to be paid in the future.

III.

LOUISIANA COMMUNITY PROPERTY LAW "RELATES TO" THE BOGGS' ERISA PLAN

Louisiana community property law derives from Spanish and French sources and was introduced into Louisiana during the colonial period of the 18th Century. The purpose of community property law is to treat the spouses as partners during the marriage; English common law did not recognize the partnership concept of marriage and each party was the sole owner of his/her property whether acquired before or during the marriage. Under Louisiana law, earnings of each spouse are generally considered community property. La Civil Code art. 2338

However, the law is not all inclusive; Louisiana carves out areas of property law that remain unaffected by community property principles. Exceptions to the general community property rule involve spouses who enter into either prenuptial or post-nuptial agreements terminating the community property regime (La. C. C. arts. 2328 and 2329), donations to one of the spouses, income from a spouse's separate property when the recipient files an affidavit reserving the right

to retain that income as separate income, (La. C. C. art. 2339), personal injury damages, proceeds from life insurance policies, and property acquired with a combination of separate and community funds if the amount of community funds is "inconsequential in comparison to the value of the separate" funds (La. C. C. art. 2341). Thus, Louisiana's community property law does not include all property acquired during the marriage. More important, Louisiana community property law does not preempt or trump other Louisiana laws affecting property acquired during the marriage and surely not federal law.[6]

The community property regime terminates on death of a spouse, or judgment of divorce or separation of property, or matrimonial agreement that terminates the community. La. C. C. art. 2356. Property acquired after the termination of the community does not fall into the previously terminated community.

In the instant case, the Fifth Circuit correctly announced the basic community property theory that "each spouse owns 'a present undivided one-half interest' in all community assets, which vests from the moment of acquisition". The Fifth Circuit then fell into error, however, in concluding that the Boggs pension benefits were assets of Isaac's and Dorothy's marital community, and thus, permitted the sons to claim against the beneficiary, Sandra, a sum equal to the value Dorothy's alleged community interest, without acknowledging ERISA's preemption of the state law. The Fifth Circuit decision totally ignores the purpose of ERISA

[6] See e.g. *Walet v. Jefferson Lake Sulphur Co.*, 202 F.2d 433, 434 (5th Cir. 1953) holding that Louisiana community property law is pre-empted by the Securities Act of 1934. "In such circumstances, federal policy must prevail over the vagaries in local laws."

which is to protect and provide for the living participant and surviving beneficiaries, not the deceased spouse's legatees. 29 U.S.C. §1001.

> Pensions are designed for the benefit of the living.*** Congress' fundamental purpose was evident throughout to insure that both spouses would receive sufficient funds to afford them security during their lifetimes, not to arrange for an opportunity for a predeceased non-employee spouse to leave a part of her surviving husband's pension rights to others." *Ablamis v. Roper, supra,* at p. 1457.

The Fifth Circuit erroneously reasoned that Louisiana's community property system does not "relate to" an ERISA pension plan within the meaning of ERISA's preemption clause on the theory that: "A State community property system that affects what a plan participant does with his benefits after they are received does not impermissibly intrude on the mandates ERISA imposes on plan administrators." *Boggs v. Boggs,* supra, 82 F.3d at p. 96. The implication of the foregoing sentence is that ERISA is limited only to protecting plan administrators and that to relate to ERISA within the preemption clause the state law must affect only the duties of plan administrators. Nothing could be further from the truth - ERISA protects plan beneficiaries first and foremost; it regulates plan administrators in order to ensure that beneficiaries receive the protected benefits.[7] (29 U.S.C. §1001)

[7] E.g. *Shaw, FMC, Pilot Life, Ingersol* and other authorities cited supra.

The Fifth Circuit attempts to justify its conclusion by saying:

> "Our decision relates not to the plan but to the disposition of the proceeds only after payment to the designated beneficiary." (82 F.3d at p. 97)

The crucial date on which Dorothy's rights are determined is the date of her death in 1979. At that date neither she nor her estate, had any rights in the pension plan, because the federal law had previously preempted Louisiana community property law, the preemption having been effective on the effective date of the Act, January 1, 1975. 29 U.S.C. §1144 (a). Hence, in 1979, Dorothy had no transmissible rights to bequeath to her legatees.

Moreover, the above quoted statement by the Fifth Circuit is contradictory on its face. If "disposition of the proceeds only after payment to the designted beneficiary" was the only thing involved, this case would not have happened, because such disposition occurred many years **after** the community property regime between Isaac and Dorothy had terminated by her death. Prior to Dorothy's death the 'proceeds' were still in the plan and not within the control of the participant or non-participant spouse. In fact, when the initial "disposition of proceeds" to the designated beneficiary, Isaac, was made in 1985 Isaac was married to his second wife, petitioner, and the only *community* which existed at that time was the community between Isaac and his said second wife. Consequently, there is absolutely no foundation or justification for the Fifth Circuit to say that the first community (between Isaac and Dorothy) is entitled to an interest in the pension plan benefits, because that result "relates not to the plan but

to the disposition of the proceeds only after payment to the designated beneficiary". To the contrary, the Fifth Circuit's opinion itself shows that it is the plan, rather than merely the proceeds, which is affected by Louisiana community property laws when the court recognized Dorothy's alleged ownership interest in the plan benefits prior to distribution of the proceeds. Separating the plan from the proceeds is a distinction without a difference, which cannot be done to circumvent ERISA, for the federal statute preempts Louisiana community property law.

The erroneous result reached by the Fifth Circuit is proof that Louisiana's community property laws do "relate to" the pension plan, because those laws substantially affect the disposition of the economic benefits paid by the plan. To apply those laws so as to recognize an ownership interest in the participant's plan and benefits before he received them, and redistribute the pension benefits to a party not protected by ERISA, is contrary to the federal scheme. As Circuit Judge Wiener so correctly observed in his dissent:

> "The essence of the Sons' state action is a determination of the ownership of and entitlement to retirement benefits under an ERISA pension plan, the Bell Plan. Thus, the Sons' claims are necessarily premised on the very existence vel non of the Bell Plan. The result sought by the Sons would effectively alter the Participant's beneficiary designation under the plan." *Boggs v. Boggs*, dissenting opinion, 89 F.3d 1169, 1175 (5th Cir. 1996)

Thus, such state laws are preempted in order to assure payment of the benefits to the designated beneficiaries, the participant and the participant's spouse.

IV.

ERISA'S ANTI-ALIENATION, OR SPENDTHRIFT, PROVISION BARS RESPONDENT' CLAIMS

The anti-alienation, or spendthrift, provision of ERISA directs :

> "Each pension plan shall provide that benefits provided under the plan may not be assigned or alienated." 29 U.S.C. 1056 (d) (1)

Consequently, the participant, Isaac, was prohibited from assigning or alienating his benefits during his lifetime.[8]

Likewise, Dorothy, Isaac's deceased wife, was prohibited from alienating, by her testament, pension plan benefits to third parties, her children. She, as a non-participant deceased spouse, **could not enjoy greater rights** than the participant, Isaac! Moreover, the anti-alienation clause prevents alienation by participants, participant's spouses, and beneficiaries, because it speaks in terms of alienation of the **benefits**, not in terms of action by any person or entity. The Fifth Circuit restricted application of the anti-alienation clause to protecting the participant from himself, which is contrary to the plain language of the clause.

The **only** exception to the broad coverage of the spendthrift clause is the Qualified Domestic Relations Order

[8] Isaac could designate a beneficiary other than his spouse only with the express consent of that spouse. 29 U.S.C. 1055 (c) (2) (A); likewise spousal consent is required to name non-spouse as beneficiary of an IRA 26 U.S.C. 408 (a) (6) requiring compliance with 26 U.S.C. 401 (a).

("QDRO") which will recognize an ex-spouse as an alternate payee under the plan, but only in limited situations and only for limited purposes. Since the attempted testamentary transfer by Dorothy to her sons does not qualify as a QDRO the transfer is prohibited by the Act.

The QDRO was incorporated in ERISA by the Retirment Equity Act ("REA") of 1984, Pub. 1. No. 98-397, 98 Stat. 1426. ERISA was thus amended to provide for partition of retirement benefits in state court marriage dissolution proceedings in order to protect the divorced spouse, child, or other dependant of a participant. The amending Act is very specific and limited. It provides that the above quoted non-alienation provision:

> "[S]hall not apply if the order is determined to be a qualified domestic relations order." (29 U.S.C. 1056 (d) (3) (A))

The Act then defines the QDRO as a domestic relations order which "relates to the provision of child support, alimony payments, or marital property rights to a spouse, former spouse, child, or other dependent of a participant", and "is made pursuant to a State domestic relations law (including a community property law)." 29 U.S.C. §1056 (d) (3) (B) (ii) (I) (II).

The REA amendment to ERISA is very restrictive and is mandatory in its application. Only Qualified Domestic Relations Orders of courts of competent jurisdiction, meeting certain specific requirements as spelled out in the Act, will be recognized and enforced by plan administrators. Moreover, QDROs are limited to a "spouse, former spouse, child, or other dependent of a participant", **none of which include the respondents** herein.

Therefore, the Respondents in this case, the major children of Isaac Boggs, could never present any order of a state court which would allow them to circumvent the non-alienation provision of ERISA. All they could ever present would be a probate order based upon their claim under Louisiana's community property laws. Any such probate order will not be recognized under ERISA, for it cannot qualify as a QDRO.

> "* * * ERISA's express statutory language and legislative history make it clear that Congress did not intend to classify state court orders effecting testamentary transfers as QDROs." *Ablamis v. Roper,* 937 F.2d 1450, 1455 (9th Cir. 1991)

Thus, the deceased non-employee spouse can not leave by her testament, her alleged community interest in pension benefits to third parties because:

> "That action clearly contravenes the language and purpose of ERISA and the QDRO exception. To the extent that state community property laws permit such transfers, they are preempted by section 1056(d). *Ablamis,* supra., 937 F.2d at p. 1457

The result of the Fifth Circuit's decision is to allow Louisiana's probate court to enter a monetary judgment *in personam* against Petitioner, Sandra, in a dollar amount equal to respondents' deceased mother's purported (community) share of the pension plan benefits. Thus, such an award would accomplish by indirection what ERISA prevents by direct

action. Since the anti-alienation or spendthrift clause prevents direct attachment of the pension funds in the hands of the administrator, to allow the Louisiana court to enter judgment against the beneficiary would circumvent the spendthrift provision by allowing the successful heirs of the non-participant spouse to execute against the plan benefits or any other funds or property which is owned by the participant or the beneficiary. Thus, the Louisiana court would achieve the same result as if it had decreed a property ownership in the pension plan in favor of the heirs or legatees of the non-participant spouse, which is contrary to the specific provisions of ERISA.

Moreover, such a result would be contrary to the teachings of this Court in related matters involving conflict between federal law and community property laws. Among those decisions are: *Wissner v. Wissner,* 338 U.S. 655 (1950) (military life insurance program); *Free v. Bland,* 369 U. S. 663 (1962) (U.S. Savings Bonds survivorship provision); and *Hisquierdo v Hisquierdo,* 439 U.S. 572 (1979) (railroad retirement benefits). By those decisions this Court has laid down the rule that where Congress has provided a comprehensive system for a particular purpose, whether railroad workers retirement, military personnel retirement, or savings bonds sales, community property laws awarding a non-participant spouse rights in the federally controlled program will not be recognized, except where specifically allowed by federal statute. In each of the above cited cases this Court has found that such an offsetting award or recognition of a community property interest in the employee's benefits would do "major damage" to a federal purpose.

> "An offsetting award, however, would upset the statutory balance and impair petitioner's

> economic security just as surely as would a regular deduction from his benefit check. The harm might well be greater. ***" *Hisquierdo v. Hisquierdo,* 439 U. S. at p. 588

According to *Hisquierdo, Free* and *Wissner,* granting an "offsetting award", for the monetary equivalent of a portion of the employee's pension benefits, deprives the plan participant or his beneficiary of the plan benefits and thwarts the federally created protection envisioned by Congress.

In *Free v. Bland,* supra, this Court would not accept the fiction that a state law based judgment of ownership is permissible to dispossess the named beneficiary of federally created rights in U.S. Savings Bonds. Federal law designated the beneficiary under the bonds and established the order in which the benefits passed from person to person. The Texas Supreme Court in *Free* had applied Texas community property laws to circumvent the federal scheme by giving judgment to the heirs of the predeceased spouse of the bond owner against the named beneficiary. This Court struck down that decision and succinctly stated the test:

> "If the state can frustrate the parties' attempt to use the bonds' survivorship provision through the simple expedient of requiring the survivor to reimburse the estate of the deceased co-owner as a matter of law, the state has interfered directly with legitimate exercise of the power of the Federal Government to borrow money." (369 U. S. at p. 669)

In the instant case the Fifth Circuit has created a fiction that ignores the federally created rights of the participant and the participant's surviving spouse in favor of the heirs of the non-participant spouse. This result is achieved through the 'simple expedient' of the state community property laws in order to circumvent the provisions of ERISA. That result should not be permitted by this Court.

V.

LOUISIANA COMMUNITY PROPERTY LAWS DO 'MAOR DAMAGE' TO FEDERAL PURPOSES OF ERISA

As this Court has ruled:

> "State family and family-property law must do 'major damage' to 'clear and substantial' federal interests before the Supremacy Clause will demand that state law be overridden." *Hisquierdo v. Hisquierdo,* 439 U. S. 572, 581 (1979).

Louisiana's community property law, as applied to ERISA protected pension plans, does major damage to a federal interest. To allow the Louisiana state law to override ERISA covered pension plans, by confering ownership rights in the pension plan to the non-employee spouse, would result in the non-participant spouse becoming a co-equal participant with attendant rights of ownership including testamentary disposition, and the right to exercise options granted the participant by the ERISA plan. But ERISA demands that qualified benefits **shall** be paid to the participant, or the participant's surviving spouse, (29 U.S.C. §1055 (a)) except in cases where spousal consent has been obtained

in the naming of a beneficiary or where a qualified domestic relations order provides for an alternate beneficiary. Outside of those exceptions, the Act makes no provision for any rights in a non-participant.

As the Ninth Circuit recognized in *Ablamis,* supra:

> "Permitting a non-employee spouse to bequeath one-half of a surviving employee's pension benefits to a third party would do 'major damage' * * * ." (937 F.2d at pp.1459-1460)

Moreover, classification of pension benefits as marital property subjects ERISA plans to state law regulation under fifty different marital property laws. The stated purpose of uniform administration of pension plans will be destroyed by the diverse treatment of each state. Part of the federal interest evidenced by ERISA is its creation of a level playing field for all employees who move from state to state in the course of their working careers.

Judge Wiener, in his dissenting opinion, stated the problem thusly:

> "The other of ERISA's twin purposes - national uniformity - would be frustrated if heirs and legatees were allowed to prevail under state laws that would produce results different from those produced by ERISA's rules governing entitlement to and distribution of benefits. * * * Unavoidably, the amount of retirement income available for each participant in a given plan would vary depending solely on the serendipity of a participant's state of residence from time to time. A domiciliary

> history of moving in and out of community property jurisdictions would create an imposible accounting and allocation problem. Quite simply, ERISA's goal of uniformity would be unattainable if the ultimate enjoyment of ERISA plan benefits were left to the vicissitudes of the varying and disparate marital property laws of the several states, be they community or separate." *Boggs v. Boggs,* dissenting opinion, supra, 89 F.3d at p. 1177.

Just as important, as fair and equal treatment by employers, is the consistent and predictable treatment of state property laws. For example, the employee who begins a working career in a common law state, then moves to a commuity property state in the Fifth Federal Circuit (but not within the Ninth Federal Circuit) for a number of years, will not know how much of his/her pension benefits fall into the community, nor the value of his spouse's community interest in his pension. The plan administrator would be required by the Fifth Circuit decision to maintain running records of each participant's pension to determine at any point in time the value of the participant's interest in the pension plan. Such a situtation would create an accounting nightmare and seriously burden the administration of all pension plans. Again Judge Wiener observed:

> "As proof positive of a sufficient nexus between the Plan and the state law at issue, one need only observe, for example, that any calculation of the benefits claimed by the Sons would unquestionably require an analysis of the terms and conditions of the Bell Plan, as well as its records and those of its participants. Moreover, plan administrators would be forced to take burdensome precautions to protect the rights and interest in plan beneifts not only of the beneficiary but of the heirs and

legatees as well." (Foot note citing *Cefalu v. B.F. Goodrich Co.*, 871 F.2d 1290 (5th Cir. 1989) (Citations omitted.) *Boggs v. Boggs*, dissenting opinion, supra, 89 F.3d at p. 1176.

Additionally, recognition of the spouse as an equal participant allows the spouse to name beneficiaries in the same manner as the employee-participant. There is no mechanism in ERISA for dual control of the plan benefits; ERISA speaks of the 'participant' in the singular! To elevate the non-participant spouse to the status of a co-participant would double the plan administrator's troubles by doubling the number of persons with whom he must deal.

VI

THE IRA ACCOUNT

Upon his retirement in 1985 (six years after Dorothy's death) Isaac rolled over the lump sum distribution of his ERISA pension plan proceeds into a qualified Individual Retirement Account under Internal Revenue Code §§401 et seq. Those lump sum benefits did not change in form or character by virtue of their being deposited to an IRA, nor would they have changed from pension plan benefits had they been deposited elsewhere. Thus, the funds derived from the ERISA plan are not subject to state community laws of ownership for the same reason the participant's annuity and the surviving spouse's annuity are not subject to state community property laws. Particularly, that act of transfer to the IRA in 1985 did not retroactively place the funds in Dorothy's estate as of her death in 1979 just because the funds had changed their situs from holdings by the plan administrator to being deposited in the IRA. Therefore, the funds which

were transferred to the IRA continued to fall into the same classification as the other pension plan benefits; their "spots" were not changed. Thus no distinction should be made between the funds in the IRA or other funds of the pension plan.

The Fifth Circuit, however, granted Dorothy's estate a community interest in the IRA funds stating that 26 U.S.C. section 408:

> "* * * governs the trust relationship between the government and the participant whose benefits are placed in an IRA account. It does not effect that participant's later obligation to his spouse to account for her portion of the benefits. This provision governing the disbursement of IRA funds cannot reasonably be interpreted to intervene in the martial relationship and divest one spouse of ownership rights." *Boggs v. Boggs*, 82 F.3d at p. 98.

The Fifth Circuit overlooked the fact that Dorothy never had the ownership rights to the pension benefits, wherever situated. The funds were in the ERISA pension plan at Dorothy's death, not in the IRA, and the funds could not become part of Dorothy's estate for the reasons heretofore stated, and surely not because of that change in depository six years after her death.

The Individual Retirement Account Act, 26 U.S.C. 408, specifically states that the IRA account is "for the exclusive benefit of the individual or his beneficiaries" (26 U.S.C. 408(a)) and "shall be applied without regard to any community property laws" (Id., sec. (g)) The section defines the

Account as a trust created or organized in the United States for the exclusive benefit of an individual or his beneficiaries restricted by subsequent provisions of the law. The spouse of the individual is the automatic beneficiary under the joint and survivor annuity provisions, unless both spouses elect to waive the annuity and community property claims are specifically rejected.

Nonetheless, as above stated, the roll-over into the IRA did not change the character of the funds as being ERISA protected pension plan funds, particularly when the roll-over did not even take place until long after the first community was terminated by Dorothy's death.

CONCLUSION

As the American population achieves increased longevity, more and more participants in qualified pension plans will find themselves widowed and remarried. The financial needs of these people during their retirement years will be substantial as they age and do not continue to work. If state property laws are allowed to divide the participant's pension benefits upon the death of a spouse and allow the heirs of the deceased spouse to claim a portion of that pension, the participant will necessarily suffer a substantial reduction in his or her future standard of living, and ultimately will place

an increased burden upon society. In most instances, the children of the participant's spouse will be mature adults at the time the participant retires and will not qualify as dependents under the Act. Those adult children should not be allowed to deprive the participant and the participant's spouse of the retirement benefits needed to support them. The stated purpose of ERISA is to provide the participant with an income stream during retirement years; the Act speaks only of retirement income and retirement pensions. Certainly, it cannot be said that the claimants to a portion of the participant's pension, based on state community property law, are "retirees" or "participants" under any retirement plan; they are "creditors" based on a state law that would re-order the rights of the parties to a retirement plan.

The community property laws, and the marital property laws of the non-community property states, are the type of laws that Congress intended to preempt by ERISA in order to provide a uniform and certain pension benefit law throughout the fifty states.

> "The basic thrust of the pre-emption clause, then, was to avoid a multiplicity of regulation in order to permit the nationally uniform administration of employee benefit plans". *N. Y. Conference of Blue Cross v. Travelers Ins.*, ____ U.S. ____, 115 S. Ct. 1671, 1677, 131 L.Ed. 2d 695 (1995)

Unless the decision of the Fifth Circuit is reversed, that goal of uniformity will not be achieved.

For all of the above and foregoing reasons, it is respectfully submitted that the decision of the United States Court of Appeals for the Fifth Circuit should be reversed.

Dated: December 2, 1996, Mandeville, Louisiana.

Respectfully submitted.

Marian Mysing Livaudais,*
John Catlett Christian
James F. Willeford
F. Pierre Livaudais

*Counsel of Record

APPENDIX A

SUBTITLE A—GENERAL PROVISIONS

§ 1001. Congressional findings and declaration of policy

(a) Benefit plans as affecting interstate commerce and the Federal taxing power

The Congress finds that the growth in size, scope, and numbers of employee benefit plans in recent years has been rapid and substantial; that the operational scope and economic impact of such plans is increasingly interstate; that the continued well-being and security of millions of employees and their dependents are directly affected by these plans; that they are affected with a national public interest; that they have become an imprtant factor affecting the stability of employment and the successful development of industrial relations; that they have become an important factor in commerce because of the interstate character of their activities, and of the activities of their participants, and the employers, employee organizations, and other entities by which they are established or maintained; that a large volume of the activities of such plans is carried on by means of the mails and instrumentalities of interstate commerce; that owing to the lack of employee information and adequate safeguards concerning their operation, it is desirable in the interests of employees and their beneficiaries, and to provide for the general welfare and the free flow of commerce, that disclosure be made and safeguards be provided with respect to the establishment, operation, and administration of such plans; that they substantially affect the revenues of the United States because they are afforded preferential Federal tax

treatment; that despite the enormous growth in such plans many employees with long years of employment are losing anticipated retirement benefits owing to the lack of vesting provisions in such plans; that owing to the inadequacy of current minimum standards, the soundness and stability of plans with respect to adequate funds to pay promised benefits may be endangered; that owing to the termination of plans before requisite funds have been accumulated, employees and their beneficiaries have been deprived of anticipated benefits; and that it is therefore desirable in the interests of employees and their beneficiaries, for the protection of the revenue of the United States, and to provide for the free flow of commerce, that minimum standards be provided assuring the equitable character of such plans and their financial soundness.

(b) Protection of interstate commerce and beneficiaries by requiring disclosure and reporting, setting standards of conduct, etc. for fiduciaries

It is hereby declared to be the policy of this chapter to protect interstate commerce and the interests of participants in employee benefit plans and their beneficiaries, by requiring the disclosure and reporting to participants and beneficiaries of financial and other information with respect thereto, by establishing standards of conduct, responsibility, and obligation for fiduciaries of employee benefit plans, and by providing for appropriate remedies, sanctions, and ready access to the Federal courts.

(c) Protection of interstate commerce, the Federal taxing power, and beneficiaries by vesting of accrued benefits, setting minimum standards of funding, requiring termination insurance

It is hereby further declared to be the policy of this chapter to protect interstate commerce, the Federal taxing power, and the interests of participants in private pension plans and their beneficiaries by improving the equitable character and the soundness of such plans by requiring them to vest the accrued benefits of employees with significant periods of service, to meet minimum standards of funding, and by requiring plan termination insurance.

(Pub.L. 93—406, Title I, § 2, Sept. 2, 1974, 88 Stat. 832.)

29 USC 1055

§ 1055. Requirement of joint and survivor annuity and preretirement survivor annuity

(a) Required contents for applicable plans

Each pension plan to which this section applies shall provide that—

(1) in the case of a vested participant who does not die before the annuity starting date, the accrued benefit payable to such participant shall be provided in the form of a qualified joint and survivor annuity, and

(2) in the case of a vested participant who dies before the annuity starting date and who has a surviving spouse, a qualified preretirement survivor annuity shall be provided to the surviving spouse of such participant.

29 USC 1056

§ 1056. Form and payment of benefits

x x x

(a) - (c) omitted

(d) Assignment or alienation of plan benefits

(1) Each pension plan shall provide that benefits provided under the plan may not be assigned or alienated.

(d)(2) omitted

(3)(A) Paragraph (1) shall apply to the creation, assignment, or recognition of a right to any benefit payable with respect to a participant pursuant to a domestic relations order, except that paragraph (1) shall not apply if the order is determined to be a qualified domestic relations order. Each pension plan shall provide for the payment of benefits in accordance with the applicable requirements of any qualified domestic relations order.

(B) For purposes of this paragraph—

(i) the term "qualified domestic relations order" means a domestic relations order—

(I) which creates or recognizes the existence of an alternate payee's right to, or assigns to an alternate payee the right to, receive all or a portion of the benefits payable with respect to a participant under a plan, and

(II) with respect to which the requirements of subparagraphs (C) and (D) are met, and

(ii) the term "domestic relations order" means any judgment, decree, or order (including approval of a property settlement agreement) which—

(I) relates to the provision of child support, alimony payments, or marital property rights to a spouse, former spouse, child, or other dependent of a participant, and

(II) is made pursuant to a State domestic relations law (including a community property law).

29 USC 1144

§ 1144. Other laws

(a) Supersedure; effective date. Except as provided in subsection (b) of this section, the provisions of this title and title IV shall supersede any and all State laws insofar as they may now or hereafter relate to any employee benefit plan described in section 4(a) [29 USCS § 1003(a)] and not exempt under section 4(b) [29 USCS § 1003(b)]. This section shall take effect on January 1, 1975.

APPENDIX B

LOUISIANA CIVIL CODE

Art. 2328. Contractual regime; matrimonial agreement

A matrimonial agreement is a contract establishing a regime of separation of property or modifying or terminating the legal regime. Spouses are free to establish by matrimonial agreement a regime of separation of property or modify the legal regime as provided by law. The provisions of the legal regime that have not been excluded or modified by agreement retain their force and effect.
Acts 1979, No. 709, § 1.

Art. 2329. Exclusion or modification of matrimonial regime

Spouses may enter into a matrimonial agreement before or during marriage as to all matters that are not prohibited by public policy.

Spouses may enter into a matrimonial agreement that modifies or terminates a matrimonial regime during marriage only upon joint petition and a finding by the court that this serves their best interests and that they understand the governing principles and rules. They may, however, subject themselves to the legal regime by a matrimonial agreement at any time without court approval.

During the first year after moving into and acquiring a domicile in this state, spouses may enter into a

matrimonial agreement without court approval.
Acts 1979, No. 709, § 1. Amended by Acts 1980, No. 565, § 1.

Art. 2341. Separate property

The separate property of a spouse is his exclusively. It comprises: property acquired by a spouse prior to the establishment of a community property regime; property acquired by a spouse with separate things or with separate and community things when the value of the community things is inconsequential in comparison with the value of the separate things used; property acquired by a spouse by inheritence or donation to him individually; damages awarded to a spouse in an action for breach of contract against the other spouse or for the loss sustained as a result of fraud or bad faith in the management of community property by the other spouse; damages or other indemnity awarded to a spouse in connection with the management of his separate property; and things acquired by a spouse as a result of a voluntary partition of the community during the existence of a community property regime.
Acts 1979, No. 709, § 1. Amended by Acts 1981, No. 921, § 1.

Art. 2356. Causes of termination

The legal regime of community property is terminated by the death or judgment of declaration of death of a spouse, declaration of the nullity of the marriage, judgment of divorce or separation of property, or matrimonial agreement that terminates the community.
Acts 1979, No. 709, § 1. Amended by Acts 1990, No. 989, § 2, eff. Jan. 1, 1991.